Of these, the first two are based on the knowledge of diagram and graphs, whereas the others are mathematical methods.

1. Scatter Diagram Method:

Scatter diagram is a graph of observed plotted points where each point represents the values of X and Y as a coordinate. It portrays the relationship between these two variables graphically.

Advantages of Scatter Diagram method

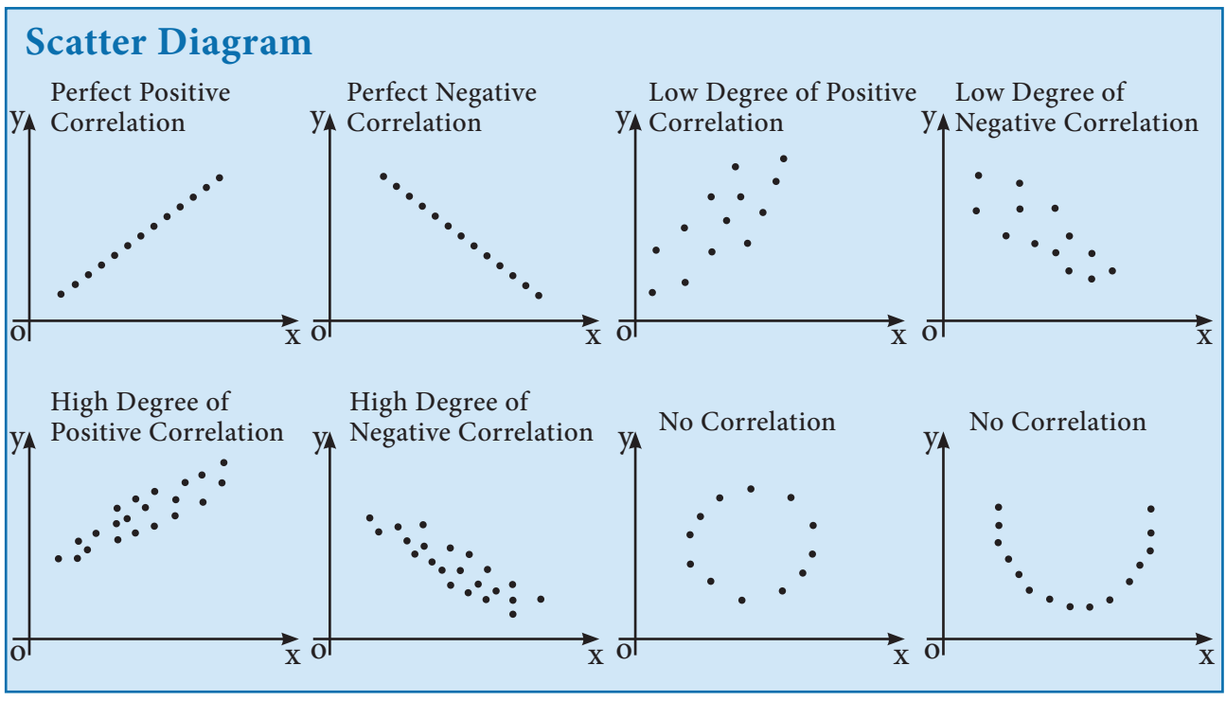
(1) It is very simple and non- mathematical method

(2) it is not influenced by the size of extreme item.

(3) It is the first step in resting the relationship between two variables.

Disadvantages of Scatter diagram method

It cannot establish the exact degree of correlation between the variables, but provides direction of correlation and depicts it is high or low.



2. Graphic method

In this method, the individual values of two variables are plotted on the graph sheet and draw the curves of both the variables say x and y. If both X and Y are moving in the same direction either upward or downward, then the correlation is said to be positive. If the curves of X and Y move in the opposite direction; then the correlation is said to be negative.

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